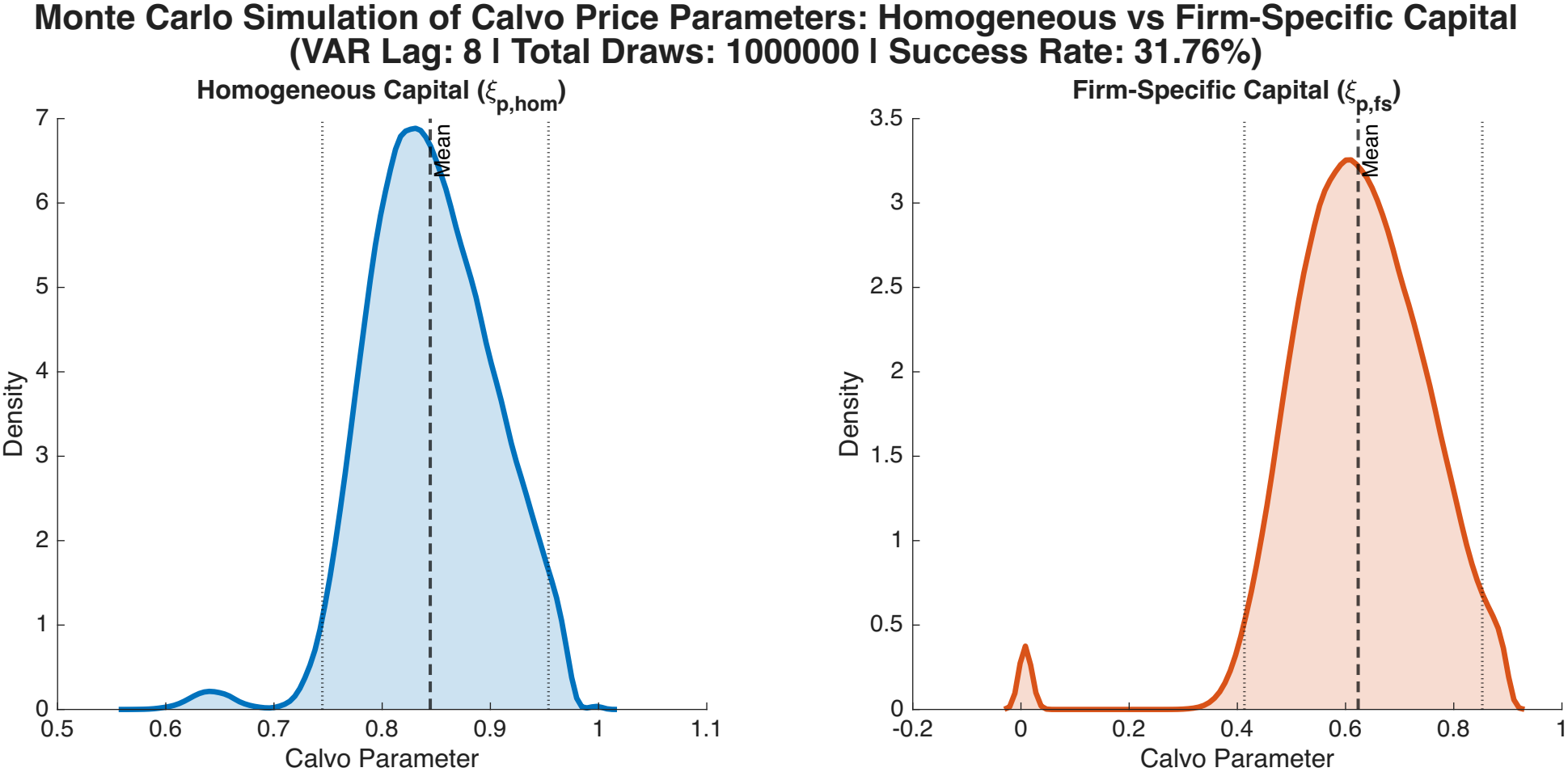
Monte Carlo Simulation of Calvo Price Parameters: Homogeneous vs Firm-Specific Capital
(VAR Lag: 8 | Total Draws: 1000000 | Success Rate: 31.76%)
Homogeneous Capital ($\xi_{p,hom}$)
Mean
Density
Calvo Parameter
0
1
2
3
4
5
6
7
0.5
0.6
0.7
0.8
0.9
1
1.1
Firm-Specific Capital ($\xi_{p,fs}$)
Mean
Density
Calvo Parameter
0
0.5
1
1.5
2
2.5
3
3.5
-0.2
0
0.2
0.4
0.6
0.8
1